

Ulipis and Pension Plans

>>NOT FOR SHORT-TERM INVESTORS

Maximum limit Rs 1 lakh

What is a Ulip? To the short-term investor, it is a high-cost mutual fund (MF). To the long-term investor, it is a useful asset allocation tool. To the savvy investor, it is a great way to time the market without paying any short-term capital gains tax. And to taxpayers, it is an investment plan that gives tax benefits, life cover and great returns.

So why are so many Ulip investors planning to change them to paid-up policies? Thanks to the market crash of 2008, the value of the corpus invested in equities has almost halved. But, says Anuj Agarwal, CFO of SBI Life Insurance: "Over an investing horizon of 20 years, the crash of 2008 will be a small blip." Clearly, Ulips are not for short-term in-

Tax-free Gains		
	SHORT TERM GAINS	LONG TERM GAINS
Ulipis	Nil	Nil
Equity funds	15%	Nil
Debt funds	Marginal rate	10%



ADVANTAGES

- Investors can switch between stocks and debt.
- All income (short-term and long-term) is tax-free.
- Short lock-in of 3 years.



DRAWBACKS

- Initial charges of 30-40%.
- Returns and risk are market-linked.
- Lucrative in the long term.
- Can't switch insurers.



BEST SUITED FOR

- Investors with a long-term horizon who are not averse to taking calculated risks.

vestors. Invest only if you plan to continue with the policy for at least 10-12 years. Before that, the Ulip may not be able to recover the high charges levied in the initial years. While MFs charge an entry load of 2-2.5 per cent (and even that is waived for direct investors), Ulips charge up to 40 per cent in the first year, 20-25 per cent in the second year and 5-10 per cent in the third year. "Ulipis are ideal for individuals willing to take a higher risk to seek a higher return," says Manik Nangia, corporate v-p and head of product management, Max New York Life Insurance.

Ulipis score over ELSS funds because they allow switching between the equity and debt options. Some plans even reallocate the corpus based on the life stage of the policyholder. As a person grows older, the plan gradually shifts funds from equity to debt.

Life Insurance

>>SHOULD BE BOUGHT FOR PROTECTION, NOT TO SAVE TAX

Maximum limit Rs 1 lakh

The tax benefits on a policy are meant to reduce the cost of life insurance. They should not be seen as an end in themselves. Buying a policy only to save income tax defeats the purpose of life insurance and leads a person to make a sub-optimal choice. The premium will be the deciding factor, not the cover he gets from the policy.

If you must have insurance in your tax-planning basket, traditional plans such as endowment or money-back policies are not a great idea. As the table shows, a term plan-PPF combo is better. However, if you already have a policy, you may have no choice but to continue with it till the end of the term.



ADVANTAGES

- Provides life insurance cover.
- Forces you to save.
- All income received is tax-free.



DRAWBACKS

- Traditional plans offer low cover at high cost.
- Returns are low.
- Gives false confidence of adequate insurance.



BEST SUITED FOR

- Investors who already have traditional insurance policies; not a good option to begin now.

High-cost, low returns			
	TRADITIONAL POLICY	TERM PLAN-PPF COMBO	
	ENDOWMENT PLAN	TERM PLAN	PPF
Premium	Rs 12,000	Rs 3,500	Rs 8,500
Insurance cover	Rs 3 lakh	Rs 10 lakh	Nil
Corpus on maturity	Rs 9 lakh	Nil	Rs 10 lakh

Premiums for a 30-year-old for 30-year plans

The term plan-PPF combo gives you a higher cover and a bigger corpus on maturity.



☐ Foreign Trip
☐ Parents' 50th marriage anniversary celebration
NO MORE COMPROMISE.

SMART INVEST
PENSION PLAN

SMS 'RETIRE' to 54242

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MNYLAD51EUR0145 Ewa RSC/MNYL/2013